Q18

- The most immediate threat is that the company could run out of cash, making this policy inherently unsustainable [1]
- The fact that profit has been earned does not mean that there is sufficient cash available to pay the entire amount as a dividend [1]
- The company could, for example, have recognised revenues that are still to be collected and so the dividend payment could reduce the bank balance. It could also be necessary to use cash for purposes other than operating costs. Assets could require replacement [1]
- The lack of retained earnings could mean that the company has insufficient funding to invest in attractive opportunities that arise. The company will either have to borrow or seek an injection of equity from the directors, out of their personal wealth [1]
- The fact that the company is wholly owned by its directors reduces the risks of major problems [1]
- There is no need to maintain the dividend in order to signal confidence because the directors already have a full understanding of the business and will be able to put any decrease in dividend into context [1]

[6, Max 5]

This question was in the area of finance which is often the weakest subject area. Few candidates could write much for this question and many did not achieve a passing score. Many candidates did not realise the company was quite small and all the shares were owned by the directors. This made a huge difference to the answer and these candidates did not pass this question.